TABLE 4.6 Effect of interest on free cash (%)			
Year	Without interest	Interest	With interest
2002	24.7	1.81	26.5
2003	22.5	1.19	23.7
2004	12.6	1.62	14.2
2005	6.9	2.37	9.3
2006	24.9	3.84	28.8
2007	3.1	2.74	5.9
2008	136.8	1.87	138.7
2009	25.7	0.68	26.4
2010	30.5	0.46	31.0
2011	2.7	0.30	3.0
2012	−20.1	0.16	−20.0
2013	2.2	0.19	2.4
2014	52.6	0.34	53.0
2015	−5.9	0.44	−5.5
2016	11.0	0.57	11.6
2017	3.7	0.88	4.6
2018	−6.2	1.53	−4.7
2019	−4.9	1.21	−3.7
2020	12.5	0.24	12.7
2021	51.3	0.25	51.6

The 1980s and 1990s were truly the golden years for a futures manager, where you could get 5% or more absolutely free, and still get a performance fee on it. Even though this extra side income is essentially free money from the government, the futures manager still gets paid for it. Always keep this in mind when analysing a futures manager's long-term track record. A significant factor in the diminishing returns we have been seeing for the managed-futures industry is of course related to the low interest rate environment and it should be expected that results looked better a decade or two ago.

Even without the impact of the interest income, the returns of trend-following futures have been quite attractive over the long run, showing a more healthy return to risk ratio than most traditional investment strategies such as mutual funds. Looking another decade back, into the 1980s, the interest income effect was much greater still. In such an environment, managing futures is very much easier than it is in the current climate. Just